



United States
Attorney's Office
Western District of Washington



Indian citizen charged in multi-million-dollar health care fraud scheme

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For Immediate Release

U.S. Attorney's Office, Western District of
Washington

Owned lab in Everett, WA that billed Medicare \$8.7 million for COVID tests that were never legitimately ordered or performed

Seattle – An Indian national indicted for health care fraud will make his initial appearance today in U.S. District Court in Seattle, announced Acting U.S. Attorney Teal Luthy Miller. Mohammed Asif, 34, was arrested on April 10, 2025, at Chicago O'Hare International Airport while attempting to board an international flight. Asif is charged with health care fraud and conspiracy to commit health care fraud in connection with the operation of American Labworks LLC, a diagnostic testing laboratory in Everett, Washington. The indictment alleges that Asif conspired with others to bill Medicare for COVID-19 tests and other respiratory illness tests that had not been ordered or performed.

"Medicare provides critical funding for senior citizens' health care needs, which makes this type of fraud all the more reprehensible," said Acting U.S. Attorney Miller. "This case stands as an example of how federal law enforcement is working diligently to protect those critical tax dollars from fraud schemes."

According to the indictment and an earlier-filed criminal complaint, the Washington Secretary of State has American Labworks being formed in October 2021 and dissolved in March 2025. Washington Department of Health records indicate that its license as a Medical Test Site expired in December 2023. Asif is listed in filings with the state and with Medicare as the owner and director of American Labworks.

Claims data from April 2024 to December 2024 show that American Labworks billed Medicare more than \$8.7 million for laboratory testing services, including for COVID-19 testing. Medicare paid out over \$1.1 million to the lab.

Between June 2024 and March 2025, Medicare received more than 200 complaints from enrollees and others about American Labworks. Many of these complainants reported that Medicare was billed for testing that was never received. For example, one Medicare enrollee noted that Medicare paid American

Labworks \$545 for COVID-19 tests in August 2023 and March 2024. But the beneficiary had never had any COVID-19 tests on those dates. Multiple Medicare beneficiaries said they too had seen bills for tests that never occurred. Physicians who had allegedly ordered the tests said they had not sent patients to American Labworks, and many patients said they had never heard of the referring physician listed in the records.

In some instances, the billing records indicated a beneficiary's testing date of service occurred after other records indicated the beneficiary was dead. And in other instances, the physician who allegedly referred the patient for testing was dead at the time of the date of service.

Financial records indicate Mohammed Asif received multiple checks and made withdrawals from the American Labworks bank account, which he controlled. In May 2024, he withdrew \$260,000 from the American Labworks checking account. Soon after that Asif, who had been in the U.S. on a student visa, returned to India. He came back to the U.S. in March 2025 as investigators were unraveling the fraud. Prosecutors and special agents with the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG) and Federal Bureau of Investigation (FBI) moved quickly to draft the criminal complaint and take Asif into custody. A grand jury then returned the indictment of Asif on April 23.

Asif is alleged to have conspired with other people to accomplish the fraud. Those coconspirators are not named in the criminal complaint or indictment. The government's investigation is ongoing.

"By all appearances, there is nothing legitimate about Mr. Asif's company," said W. Mike Herrington, Special Agent in Charge of the FBI's Seattle field office. "Mr. Asif, along with his co-conspirators, used this apparently illegitimate company to fraudulently bill Medicare almost \$9 million for tests that were never done. When we receive allegations such as these, the FBI and our partners will aggressively investigate potential fraud against the US taxpayer."

"Through this scheme to fraudulently bill Medicare for laboratory testing services never furnished, the defendant diverted taxpayer money that was meant to pay for legitimate medical services," said Acting Special Agent in Charge Robb Breeden of the U.S. Department of Health and Human Services, Office of Inspector General (HHS-OIG). "HHS-OIG will continue to work with our law enforcement partners to hold accountable those who exploit federal health care programs for their own personal gain."

Health care fraud and conspiracy to commit health care fraud are punishable by up to ten years in prison and a fine of up to \$250,000.

The charges contained in the indictment are only allegations. A person is presumed innocent unless and until he or she is proven guilty beyond a reasonable doubt in a court of law.

The case is being investigated by HHS-OIG and the FBI.

The case is being prosecuted by Assistant United States Attorney Philip Kopczynski.

Contact

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